

Alphabet Inc.

GOOGL NASDAQ

Buy	\$338.46 ▼ 1.11%	12M Price Target \$385.00	52-Week Range \$233.23 – \$408.61	Market Cap \$4.14T
-----	------------------	------------------------------	--------------------------------------	-----------------------

GOOGL: Steady at \$338, Options Flow Screaming Bullish

WHAT HAPPENED

- GOOGL drifted down 1.1% Friday to \$338 on nothing company-specific — this looks like normal profit-taking after the stock has run to 60% of its 52-week range. The tell: broader Tech ETF was actually GREEN (+0.7%), so GOOGL underperformed its sector, meaning some rotation OUT of the mega-cap winners.
- The real signal is in the options market — near-term call buying is 2.5x put buying, with unusual call activity at \$340, \$342.50, and \$345 strikes expiring this month. Somebody with size is betting on a bounce in the next two weeks.

WHY IT MATTERS

The dip is noise, not signal — but the options flow is telling you smart money thinks the next move is up. When you see call volume 13x the open interest at a specific strike (that \$342.50), that's not retail YOLO, that's institutional positioning ahead of a catalyst they think is coming. The likely catalyst: continued momentum on the DOJ antitrust remedy phase, where the current administration has signaled it prefers behavioral remedies over a forced breakup — which would be a massive de-risking event for GOOGL. Also worth noting: the Pixxel space-tech news reminds you that Google's venture arm is quietly building optionality in areas (satellite imaging, AI infrastructure in India) that most investors don't even model.

POLICY & POLITICAL WATCH

The big one is the DOJ antitrust remedy — a forced Chrome divestiture is still on the table but the market increasingly thinks it won't happen, and every week without bad news is bullish. On the tailwind side, the administration's AI executive orders have leaned pro-American-champion (loosening some AI export controls to allied countries, resisting EU-style heavy regulation) which directly benefits Google Cloud and Gemini's international expansion. Watch also for the state-level AI regulation patchwork — if Congress passes a federal preemption bill (being debated now), it saves Big Tech billions in compliance costs; if it fails, California and Texas rules bite hardest on GOOGL and Meta.

IS IT EXPENSIVE?

At ~34x forward earnings — meaning you're paying \$34 today for every \$1 of profit expected next year — GOOGL trades at a discount to MSFT (~36x) and a big discount to NVDA, despite having comparable AI exposure and better cash generation. The market is still applying an "antitrust discount" of roughly 10-15% versus where it would trade cleanly. If that overhang lifts in 2026, you get multiple expansion on top of earnings growth — that's the double-barrel setup.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

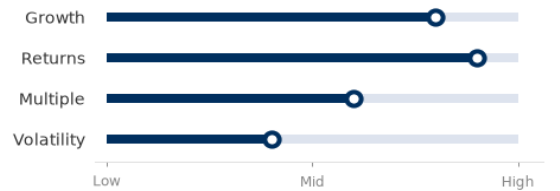
AI-Generated Pre-Market Brief | 2026-09-07 17:58 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$338.46
12M Price Target	\$385.00
Upside / (Downside)	+13.8%
Market Cap	\$4.14T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$345.00	\$320.00
6 Months	\$400.00	\$370.00	\$305.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$430.00	\$275.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology broadly (+0.86% on the week) as the market keeps rewarding AI infrastructure winners; Utilities quietly bid as the AI power-demand story keeps building (data centers need electricity).

COOLING OFF: Real Estate (-1.24%) and Materials (-1.39%) getting hit as rate-cut expectations get pushed out; Financials flat as the yield curve dynamics stay messy.

ROTATION WATCH: Money is staying inside Tech but rotating from the mega-caps that already ran (GOOGL, META) into the next tier of AI beneficiaries — that's why GOOGL underperformed its own sector Friday. This is healthy rotation, not distribution.

RELATED PLAY: If you like GOOGL's AI thesis, the picks-and-shovels play is the power/data center complex — think Vertiv (VRT), Constellation Energy (CEG), or the utilities feeding the hyperscaler buildup.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Getting the "trillion-dollar AI opportunity" narrative treatment in the press today — enterprise Copilot adoption is the story analysts can't stop writing about.
- AAPL (Apple): Product launch event catalyst next week has traders positioning long; AI-integrated iPhone cycle is the bull case.

GOOGL CONTEXT: GOOGL is lagging MSFT and NVDA on the AI narrative trade, but that's actually the opportunity — it's the cheapest mega-cap AI play with the deepest research bench (DeepMind) and the only one with a self-driving business (Waymo) that's suddenly getting valued as a real asset. Being the "boring" one in the group means less froth to unwind if the AI trade cools.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — high conviction because you're getting AI + Cloud + Waymo optionality at a discount to peers, with the biggest overhang (antitrust) trending toward resolution.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade; size it like you want to own it for years.

ENTRY POINTS: Add on pullbacks to \$325-335; if we get a broader market flush to \$310, back up the truck.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are the final antitrust remedy ruling and two more quarters of Cloud growth confirmation.

WHEN TO BAIL: Forced structural breakup ruling, Cloud growth decelerating below 25%, or Search revenue actually declining year-over-year (not just slowing).

HEDGING: Simplest hedge is owning some long-dated puts as insurance against an antitrust shock — think of it like buying earthquake insurance on a house you love. Alternatively, pair the position with a small short in a more expensive AI name so you're betting on GOOGL's relative value, not the whole AI trade.